

Ken Proxmire won \$1 million in the Michigan lottery. He moved to California and went into the car business with his brothers. Five years later, he filed for bankruptcy.⁸

Do you need to be rich to have family money?

By our definition, no. Family money is different money. It is not necessarily a lot of money.

Researchers asked rich people how much money they needed to be rich. A million dollars didn't get you very far in the eyes of these rich people. They said you needed \$7.5 million, minimum.

Why so much? How much does it cost to live well?

Well, it depends. When the elder of your authors began his career, he worked for \$100 per week. That became \$100 per day after a few years. And then, it became \$100 per hour. And so on. He doesn't recall being any less happy at \$100 per week than he was at \$100 per hour. And today, he says he would readily trade: make him 25 years old again, and he'll work for, well, \$100 per day.

But as his income rose with his years, so did his expenses. At about \$40,000 per year, he bought his first new automobile, a Datsun pickup truck. At \$100,000, he had a Volvo and a Ford pickup. And a farm in the country. Every increase in earnings came with a price tag attached. Whenever he thought he was getting ahead, he found some new necessity—something he had to have.

That is why so many people with high incomes have no money. As soon as they get a raise, an entrepreneur offers them something they can't live without.

In our experience, you can live “as though” you were rich on, say, \$350,000 per year. That's about what two good lawyers, or doctors, or small-business people might earn, together. They pool their earnings. They can enjoy “the good life.” Vacations. A nice house. Nice cars. All the gadgets.

Demographers call them HENRYs (“high earners, not rich yet”). People think these people are rich because they live as though they were rich. But they are far from it. In many ways, they are in the worst possible situation. They earn a lot. But they pay high taxes and, usually, high living expenses.